Customer Churn Analysis: H1 2026 Cohort Review

Version	Date	Owner	Distribution	Change
1.0	Oct 7, 2026	Revenue Analytics (W. Liu, O. Haddad)	Exec team, CS leadership	risk model v2

CONFIDENTIAL. Prepared by Revenue Analytics (Wen Liu, Omar Haddad). Internal analysis for the executive team and Customer Success leadership. Data as of September 30, 2026. Numbers are from the billing warehouse and may differ slightly from finance reported figures due to timing of credit memos.

Executive summary

Logo churn in the trailing twelve months was 11.8%, up from 9.4% a year ago. Dollar churn (gross) was 8.8%. Almost all of the increase is in the sub 50k ACV segment, where churn rose from 14% to 21%. Enterprise churn is stable at 3.1%. The single strongest predictor of churn we found is weekly active users dropping below 30% of purchased seats for two consecutive months; 62% of churned accounts crossed that line at least 90 days before renewal.

Churn by segment (TTM)

Segment	Accounts	Logo churn	Gross $ churn	NRR
Enterprise (>250k)	96	3.1%	2.4%	121%
Mid market (50-250k)	312	8.7%	7.9%	109%
SMB (<50k)	876	21.0%	19.6%	88%
Total	1,284	11.8%	8.8%	112%

Stated churn reasons (exit surveys + CSM notes, n=148)

Reason	Count	Share	Notes
Budget / cost cutting	41	28%	mostly SMB, many cite layoffs
Moved to competitor	33	22%	Kestrova 19, Varnetta 11, other 3
Low adoption / no champion	29	20%	often champion departure
Acquired / merged	16	11%	
Product gaps	18	12%	real time (9), embedded (5), mobile (4)
Security concerns	6	4%	4 after SEC-2026-014
Other	5	3%	

Caveat: stated reasons skew toward budget because it is the polite answer. When we cross referenced with usage data, roughly half of 'budget' churns had low adoption for 6+ months beforehand.

Leading indicators

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Risk score v2 (logistic regression, AUC 0.81 on holdout)

  feature                          coef
  wau_to_seat_ratio < 0.3 (2mo)    +1.42
  champion_left (90d)              +1.10
  support_tickets_sev2plus (90d)   +0.47
  dashboards_created (30d) == 0    +0.66
  exec_sponsor_meeting (90d)       -0.83
  assistant_weekly_users > 20      -0.58
  multi_year_contract              -0.91
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The model is now running nightly and writes a risk score to the CRM account object. CSMs are asked to log an intervention for any account scoring above 0.6. Early read after 6 weeks: of 41 accounts flagged, 28 had an intervention logged, and 4 have already renewed. Too early to claim impact.

Recommendations

1. Move SMB accounts to a pooled CS model with automated health nudges (this aligns with the Q4 restructuring). 2. Make the Team plan annual only; monthly SMB customers churn at 2.6x the rate of annual. 3. Offer a free 60 day AI assistant trial to accounts with declining WAU, since assistant usage is the strongest negative coefficient we can actually influence. 4. Build a competitive takeout response for Kestrova in SMB; we are losing on price at the low end and our current answer is a discount, which then sets a low renewal baseline. 5. Revisit the decision not to build a mobile app; 4 churns and 11 lost deals cited it this year.

Cohort retention (logo, % remaining)

Cohort	3 mo	6 mo	12 mo	18 mo	24 mo
H1 2024	98	95	88	84	81
H2 2024	98	94	86	82	n/a
H1 2025	97	93	84	n/a	n/a
H2 2025	97	91	n/a	n/a	n/a

The H2 2025 cohort is tracking worst at 6 months. It contains a large number of accounts sold through the Q4 2025 promotion at 30% off, which suggests discounted acquisition brings lower quality customers. We recommend not repeating that promotion. Wen and Omar are available to walk through the model; the notebook is in the analytics repo under churn/h1_2026.